Claims Payment Policy

Subject: Modifier 53

Application: Medicare Advantage and Medicaid Products
Policy number: CP2014017
Related policies: Common CPT and HCPCS Modifiers

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Overview

According to the American Medical Association (AMA) Coding with Modifiers publication, "A physician may elect to terminate a surgical or diagnostic procedure due to extenuating circumstances or those that threaten the well-being of the patient. The discontinued procedure may be reported by adding *modifier 53* to the code. *Modifier 53* is only used for professional services."

This policy outlines Humana's billing requirements and reimbursement for services reported with *modifier 53*.

Medicare Advantage Payment Policy
Kentucky Medicaid Payment Policy
Medicaid Payment Policy
Definitions of *Italicized* Terms
References
General Humana Resources

Medicare Advantage Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Humana requires a provider to report *modifier 53* if the procedure is discontinued after anesthesia is administered.

Modifier 53 should not be used for:

- Evaluation and management codes
- Facility claims
- Charges for laparoscopic and endoscopic procedures converted to open procedures

Humana will reject or deny a charge if *modifier 53* is submitted inappropriately.

Contracted Providers

If *modifier 53* is appropriately appended to a service code, a Humana Medicare Advantage (MA) plan allows 29 percent of the provider's contracted rate.

In certain circumstances, additional payment rules may apply.

Noncontracted Providers

If *modifier 53* is appropriately appended to a service code and that code has a *modifier 53*-specific rate in the Medicare Physician Fee Schedule (MPFS), a Humana MA plan allows the rate stated in the MPFS.

If *modifier 53* is appropriately appended to a service code and that code does not have a *modifier 53*-specific rate in the MPFS, a Humana MA plan allows the service code's *base maximum amount payable under the member's plan*, multiplied by the percentage of the service that was completed. For example, if 15 percent of the procedure was performed, then the plan allows 15 percent of the *base maximum amount payable under the member's plan* for the service code. Humana requires a provider to submit medical records, including the operative report.

In certain circumstances, additional payment rules may apply.

Kentucky Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Humana requires a provider to report *modifier 53* if the procedure is discontinued after anesthesia is administered.

Modifier 53 should not be used for:

- Evaluation and management codes
- Facility claims
- Charges for laparoscopic and endoscopic procedures converted to open procedures

Humana will reject or deny a charge if *modifier 53* is submitted inappropriately.

If *modifier 53* is appropriately appended to a service code, Humana allows:

- 29 percent of the provider's contracted rate; or
- 29 percent of the *base maximum amount payable under the member's plan*, if the provider is not contracted.

Note: In certain circumstances, additional payment rules may apply. For example, when applicable, claims are subject to the Humana Healthy Horizons in Kentucky out-of-network payment policy. For more information, see the relevant guidance in the References section of this policy.

Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Except when a state-specific Medicaid section is outlined in this policy, Humana Medicaid plans follow state Medicaid guidelines, as applicable, regarding the reimbursement of a service code reported with *modifier 53*.

Definitions of *Italicized* Terms

- ***Base maximum amount payable under the member's plan:*** The maximum amount of reimbursement for a covered expense, determined by the member's plan. Depending on the plan, this may be the maximum allowable fee, the appropriate Medicare fee schedule rate or an amount derived from another payment model. Actual plan reimbursement may be less than this base maximum amount, because of applicable adjustments.
- ***Modifier 53:*** Discontinued procedure.

References

- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 4 – Part B Hospital (Including Inpatient Hospital Part B and OPPS). Section 20.6.4 – Use of Modifiers for Discontinued Services. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 12 – Physicians/Nonphysician Practitioners. Section 30.1 – Subsection B. Incomplete Colonoscopies (Codes 44388, 45378, G0105 and G0121). www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Physician Fee Schedule Relative Value File. www.cms.gov.
- Kentucky Cabinet for Health and Family Services website. Department for Medicaid Services. www.chfs.ky.gov.
- American Medical Association (AMA). Coding with Modifiers.
- Optum™. Understanding Modifiers.
- Humana website. Humana Healthy Horizons in Kentucky. Humana.com.
- Humana website. Humana Healthy Horizons in Kentucky Policies Booklet. Out-of-Network Provider Requirements and Claim Payment Policy. Humana.com.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

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